

South Africa market review work programme

Revised following review comments

Durban and Gauteng (Lesedi catchment)

7 October 2026

Scope approved; revised delivery specification

Photo source: Royal Vopak | Terminal Durban | vopak.com

Strictly Confidential



The agreed review connects market evidence to Vopak's investment opportunity

Story stage	Question to answer	Required output
Situation	How have South African fuel demand and domestic supply developed?	Historical exhibits and an evidence audit covering six themes.
Complication	Which trends could persist or reverse, and where do constraints arise?	Four explicit complications. Evidence and mechanics now; scenario calibration deferred.
Resolution	What is Vopak's share in Durban and the Lesedi catchment? Is further investment justified?	Share inference, catchment dashboards and a specified financial forecast. Commercial inputs remain open.

Approval covers this review scope and work programme. It does not verify data or approve model results.

Demand history needs a stronger economic and vehicle-use explanation

Theme	Evidence and exhibit	Work required
Growth and investment	Petrol/diesel volumes alongside real GDP, fixed investment, FDI and confidence.	Explain weak real activity and investment separately from changes in sector mix. Test manufacturing trends and agriculture headwinds; do not assume either causes the full fuel trend.
Fuel prices and EVs	Fuel-price history and paths linked to EV purchase prices and fuel/electricity running costs.	Separate short shipping/crude/FX shocks from persistent delivered-price changes. Test EV total ownership cost, then adoption and fleet turnover. Energy savings alone do not establish uptake.
Vehicle efficiency	OEM historical and expected consumption rates by segment; fleet growth and replacement.	Translate new-vehicle gains through fleet turnover and real-world use. Show the net fuel effect of fleet size, mileage and efficiency; separate EV switching.

Existing pack starting points: slides 16-17, 19 and 21. Coverage references are not source validation.

Power and freight need evidence that translates activity into diesel volumes

Theme	Evidence and exhibit	Work required
Eskom diesel	Annual diesel volumes and expenditure alongside EAF and diesel generation.	Align periods and plant coverage. Verify the proposed relationship between improved EAF and lower diesel use; obtain consumption rates.
Power-system plans	Fleet retirement/decommissioning and replacement wind, solar and gas commissioning plans.	Record timing, capacity and delivery uncertainty. Keep Eskom and non-Eskom diesel demand separate.
Road and rail freight	Historical payloads by corridor and commodity; road/rail network overlay and planned rail capacity.	Prioritise Durban–Gauteng road and rail, with pipeline as fuel benchmark. Use the supplied funding brief, then verify Network Statement v4 / Annexure 17 capacity, funding and delivery milestones.

Transnet 250 Mt ambition is network-wide. Supplied AIA brief cites funding dependency; primary corridor tables still require reconciliation.

The domestic supply timeline must include Secunda and Mossgas

Coverage	Evidence required	Exhibit treatment
Conventional refineries	Operating status, production, capacity and major changes over time.	Retain the refinery timeline; distinguish nameplate capacity from actual product output.
Secunda	Production trajectory, operating challenges and petrol/diesel yields.	Add time-series annotations or a callout showing the implications for liquid-fuel supply.
Mossgas / PetroSA	Plant-specific shutdown dates, operating status and lost fuel production.	Distinguish stopped production from permanent closure; verify the status before labelling.
Imports	Existing import series reconciled with domestic production and demand.	Show changing import dependence; do not attribute every import increase to lost local supply.

Existing pack starting points: slides 4, 6 and 26. Proposed integrated exhibit: approximately one page.

Transport shifts could weaken historical support for petrol and diesel demand

Change to test	Mechanics to develop	Demand translation
Road freight returns to rail	Durban–Gauteng first: transferable commodities, haul distance, rail capacity, reliability and funding milestones.	Estimate displaced road tonne-kilometres and fuel, allowing for additional diesel rail traction.
EV adoption accelerates	EV purchase-price declines, fuel/electricity costs and fleet replacement.	Link ownership economics to adoption; distinguish temporary price shocks from sustained incentives.
Vehicles become more efficient	Efficiency gains by segment, real-world adjustment, mileage and fleet turnover.	Apply gains to incoming cohorts; avoid double counting vehicles already shifted to EVs.
Growth improves or stalls	Mining output, agriculture activity and aviation traffic, supported by GDP and investment evidence.	Separate mining/agriculture diesel from aviation jet fuel. Manufacturing is contextual. Avoid adding FDI or confidence multipliers to the same activity effect.

Scenario levels and dates will follow separately. Freight displacement and fuel-distribution routing are distinct calculations.

Power-system recovery could persist or reverse

Power-system driver	Levers to test	Implication to quantify
Sustained recovery	Higher or sustained EAF and fewer fleet breakdowns.	Whether lower diesel generation can persist, and how much historical demand support unwinds.
Availability setbacks	Lower EAF, outages and major fleet breakdowns.	Additional residual generation needs and feasible diesel dispatch.
Retirement before replacement	Earlier decommissioning; delayed wind, solar or gas capacity and commissioning.	The timing and scale of any supply gap; installed capacity alone is not dependable generation.
Eskom and private response	Diesel generation availability, fuel consumption and operating constraints; non-Eskom response.	Estimate Eskom diesel and backup/self-generation separately. Do not equate Eskom diesel dispatch directly with load shedding.

Power and load shedding remain a standalone complication. No new forecast paths are calibrated in this revision.

Domestic fuel supply could recover or contract further

Supply uncertainty	Levers to develop	Evidence or definition needed
SAPREF restart	Separate finished-product import operations from a future refinery restart and ramp-up.	CEF roadmap identifies staged ambitions, subject to investment and approvals. Capacity announcements are not operating output.
Secunda production	Declining gas supply and diversion to methane-rich gas (MRG) could reduce liquid-fuel output.	User clarification adopted. Source the gas balance and marginal liquid yield before quantifying the loss.
Natref's future	Continued operation, investment, utilisation or reduced output.	Establish the operating outlook, required investment and credible alternatives.
Import consequences	Combined domestic production paths against each demand scenario.	Quantify imports consistently. Diversion away from fuel production constrains domestic supply, not end-user demand.

Research candidates confirmed: SAPREF and Natref. Secunda driver corrected to gas decline and MRG diversion; scenarios deferred.

Competing corridors could change how inland fuel demand is served

Corridor	Comparison needed	Levers and output
Durban	Road and rail costs, capacity, reliability and constraints; pipeline benchmark.	Test route competitiveness, bottlenecks and expansion; establish the accessible inland market.
Matola / Maputo	Reachable destinations, inland logistics, border constraints, costs and capacity.	Test whether feasible routes can capture demand currently or potentially served via Durban.
Walvis Bay	Reachable markets, distances, delivered costs, transit times and capacity.	Assess where it competes credibly; do not presume all inland markets are addressable.
Origin-destination submodel	Delivered fuel cost for the same product and destination via Durban, Matola and Walvis Bay.	Calculate price bearability, route headroom and feasible volume. Include border costs, losses, inventory finance, reliability and capacity constraints.

Delivered-cost module specification: origin + destination + product + period; compare feasible routes and their maximum affordable logistics charge.

Catchment dashboards must connect Vopak's market position to a financial forecast

Required answer	Work needed	Decision exhibit
Current market share	Gauteng is the provisional Lesedi catchment. Test capacity-based inference while actual terminal throughput remains unavailable.	Separate observed demand, capacity proxies and inferred throughput. Show denominator coverage and transfers between Durban and Lesedi.
Catchment deep dives	Separate Durban and Gauteng dashboards: demand, imports/supply, routes, competitor capacity and inferred share.	Include source vintage, uncertainty and capacity headroom. Future scenario outputs follow after calibration.
Capacity headroom	Compare potential throughput with usable capacity, utilisation, bottlenecks and competitor expansion.	Existing capacity versus scenario requirements; distinguish gross tankage from effective capacity.
Financial forecast	Translate contracted storage and billable handling into revenue, opex, EBITDA and cash flow, then capex, NPV and IRR.	Investment-board decision page: returns, utilisation/break-even, funding, phasing and triggers. Rates, contracts, capex and hurdle rate remain open.

Commercial inputs are unavailable. Provide a transparent share inference now; quantify the financial forecast once commercial assumptions are supplied and reviewed.

The agreed work sequence builds evidence before scenario conclusions

Step	Work	Completion evidence
1. Audit	Review the existing pack, data and model against the signed-off scope.	Covered / exhibit needed / verification needed / missing data / model development.
2. Define	Gauteng catchment and SAPREF/Natref scope adopted. Prioritise Durban–Gauteng; validate remaining corridor definitions.	Explicit definitions and recorded decisions.
3. Evidence	Close source gaps and build situation exhibits.	Sources, periods, units and limitations documented.
4. Levers	Map evidence to existing or required model functionality.	Vintaged, registered assumptions; consistent boundaries and no double counting.
5. Scenarios	Deferred by user. Retain the step for later calibration of coherent demand, supply and routing paths.	Coherent scenario outputs with traceable assumptions.
6. Resolution	Build share-inference dashboards and financial forecast structure, then populate with reviewed commercial inputs.	Conditional conclusions, open limitations and review status.

No staffing dates or new deadlines are committed by this review. Automated checks do not replace peer review or business approval.

The audit must make every gap, decision and limitation traceable

Control	Required record	Resolution trigger
Evidence tracker	Story point; exhibit; source; gap; lever; owner; resolution trigger; status.	Resolve each material gap before the related assumption or exhibit is adopted.
Definitions	Gauteng provisional catchment; SAPREF/Natref candidates; Secunda gas decline/MRG driver. Remaining routes and denominators require evidence.	Confirm before routing, share calculations or supply-case calibration.
Model boundary	Origin–destination delivered-cost submodel, unique terminal deliveries, and storage/handling financial forecast.	National balances alone cannot establish Vopak share. Resolve functionality before presenting quantified resolution.
Review status	Record this conversation's scope approval separately from data verification, peer review and business approval.	Evidence acceptance before adoption; technical review before reliance; commercial approval before investment.
Responsibilities	Use existing workstream responsibilities as a starting point; assign individual items during the audit.	Named owners and expiry/resolution triggers for every unresolved input or technical limitation.

All annotated comments have a disposition in the accompanying comment log. Scope sign-off does not approve new evidence or results.